Element 1: Capacity building

Consider the problems of Indian pension reforms in 1995. There was no data, there was no research, there was no policy community incubating ideas for reforms.

Under these conditions, the right thing to do should have been to build these early stages of capability in the country. To enact the Employee Pension Scheme (EPS) (1995), under these low conditions of capability in the early stages of the pipeline, was a mistake. It is no surprise that, with the benefit of hindsight, we now see that the EPS was a bad element of Indian pension policy.

There is a terrible air quality crisis in India today. The right policy response, as of 2019, consists of setting up measurement systems that will gather data, and setting up research centres. To try to rush ahead with solutions, such as odd–even in Delhi, is a mistake. We do not have enough knowledge for the most well-meaning policy process to emerge with the right answers.

Element 2: Prerequisites

The simplest inputs into the sequencing decision come from the question of prerequisites. What systems *i, j, k* are required for system *x* to work?

Example 41: Electricity reforms

Fuel is required by thermal-power-generation plants, and electricity generators need to be able to sell electricity to distribution companies. The natural sequencing for the reforms is then to first reform electricity distribution. At this point, we would have financially sound distribution companies. The next step should have been to reform the energy sector, so